

8.2 EXCHANGE RATES

Multiple Choice Questions

1990/CE/II/38

Which of the following would make depositors in Hong Kong transfer their local currency deposits to foreign currency deposits?

- A. The interest rate in Hong Kong has increased relative to other countries.
- B. There is a widespread belief that the Hong Kong dollar is overvalued.
- C. The local political development is favourable.
- D. The value of Hong Kong's exports has increased.

1990/CE/II/43

Suppose that the Japanese yen appreciates against the Hong Kong dollar and the Italian lira depreciates against the Hong Kong dollar. The demand for Italian cars in Hong Kong will

- A. increase.
- B. decrease.
- C. remain unchanged because there is only a change in the quantity demanded.
- D. either increase or decrease depending on the extent of price changes.

1991/CE/II/51

The appreciation of the Japanese yen may cause

- A. a decrease in the price of Japanese goods in Hong Kong.
- B. a decrease in the number of Hong Kong tourists visiting Japan.
- C. an increase in the quantity of goods exports by Japan.
- D. a decrease in Japanese investment abroad.

1993/CE/II/55

The below change in the exchange rate of the Hong Kong dollar against the Japanese yen would lead to

Year	Exchange rates
1990	HK\$576 = 10 000 Japanese yen
1991	HK\$622 = 10 000 Japanese yen

- A. a slower growth rate of imports from Japan.
- B. a smaller volume of Hong Kong garments exported to Japan.
- C. less Japanese investments in Hong Kong's real estates.
- D. a trade surplus in Hong Kong against Japan.

1993/CE/II/57

If the Hong Kong dollars depreciates against the Japanese yen,

- A. fewer Japanese tourists will be willing to come to Hong Kong
- B. the price of imports from Japan will fall.
- C. the competitive power of Hong Kong products in Japan will fall.
- D. those who hold Japanese yen deposits will gain

1995/CE/II/55

Under the linked exchange rate system, if the US dollar depreciates against the Japanese yen sharply,

- A. more US tourists will visit Japan.
- B. more Japanese tourists will visit Hong Kong.
- C. fewer Hong Kong products will be exported to the US.
- D. fewer Hong Kong products will be exported to Japan.

1997/CE/II/54

When the HK dollar appreciates against the British pound,

- A. the volume of the exports of Hong Kong to the UK will increase.
- B. the volume of the imports to Hong Kong from the UK will increase.
- C. the volume of the imports to Hong Kong from the US will increase.
- D. the capital inflow to Hong Kong from the UK will increase.

1998/CE/II/48

What will be the effect on Hong Kong's trade with Canada if the exchange rate changes from C\$1 = HK\$5.7 to C\$1 = HK\$5?

- A. The volume of Hong Kong's exports to Canada will increase
- B. The volume of Hong Kong's imports from Canada will increase.
- C. Hong Kong's imports from Canada will be more expensive.
- D. Hong Kong's expenditure in Hong Kong dollars on imports from Canada will increase.

2003/CE/II/47

What would result from the following change in the exchange rate between the HK dollar and the Japanese Yen?

15 th February	HK\$6.4 = 100 yen
15 th March in the same year	HK\$6.1 = 100 yen

- (1) The volume of imported goods from Japan to Hong Kong would increase.
 - (2) The number of Japanese tourists to Hong Kong would increase.
 - (3) The prices of exported goods from Hong Kong to Japan in terms of Japanese yen would increase.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2004/CE/II/48

In which of the following situations will the export volume of a country increase?

- (1) an increase in the tariffs on imports
 - (2) a depreciation of the domestic currency
 - (3) an appreciation of the domestic currency
 - (4) an increase in income for the trading partners
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (4) only
 - D. (3) and (4) only

2005/CE/II/49

Year X	Exchange rate
January	US\$1 = 120 Japanese yen
May	US\$1 = 105 Japanese yen

Under the linked exchange rate system, the above change in the exchange rate between the US dollar and the Japanese yen will lead to

- A. a decrease in the number of Hong Kong people visiting the US.
- B. an increase in the number of Hong Kong people visiting Japan.
- C. a decrease in the quantity of Japanese electrical appliances exported to Hong Kong.
- D. a decrease in the quantity of Hong Kong made fashions exported to Japan.

2007/CE/II/49

In which of the following situations will the import volume of Hong Kong from Japan increase?

- A. The income of Hong Kong falls.
- B. The national income of Japan rises.
- C. The exchange rate of the Hong Kong dollar to the Japanese yen changes from HK\$6.7 = JP¥100 to Hk\$6.9 = JP¥100.
- D. The Hong Kong economy is in the recovery stage.

2008/CE/II/50

The table below shows a change in the exchange rate between the US dollar and the Japanese Yen.

Date	Exchange rate
11 th July 2007	US\$1 = ¥122
14 th November 2007	US\$1 = ¥111

Under the linked exchange rate system of Hong Kong, the above change in exchange rate would lead to

- (1) an increase in the competitiveness of Hong Kong exports to Japan
 - (2) a decrease in the number of Hong Kong tourists to Japan
 - (3) a decrease in the total value of Hong Kong imports from Japan (in terms of the Hong Kong dollar)
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2009/CE/II/49

Date	Exchange rate
1.12.2007	US\$1 = 930 KRW
1.12.2008	US\$1 = 1 468 KRW

Under the linked exchange rate system of Hong Kong, the above change in the exchange rate of the South Korean Won (KRW) with the US dollar would lead to

- A. more Korean tourists visiting Hong Kong.
- B. more Hong Kong tourists visiting Korea.
- C. fewer US tourists visiting Hong Kong.
- D. fewer US tourists visiting Korea.

2010/CE/II/50

Under the linked exchange rate system, when the British pound depreciates against the US dollar, there would be

- A. an increase in the quantity of Hong Kong electrical appliances exported to Britain.
- B. a decrease in the quantity of British souvenirs bought by Hong Kong people.
- C. an increase in the number of Hong Kong people visiting the US.
- D. a decrease in the number of British people visiting Hong Kong.

2012/DSE/I/39

Date	Exchange rate
September 2010	HK\$10 = 1 Euro
July 2011	HK\$11.3 = 1 Euro

The above change in the exchange rate between HK\$ and the Euro will result in

- A. a drop in the number of tourists from Europe to Hong Kong.
- B. a drop in the price (in terms of HK\$) of imports from Europe.
- C. a drop in the total value (in terms of the Euro) of imports from Europe.
- D. a drop in the exchange rate of the US dollar against the Euro.

2013/DSE/I/37

A country's currency appreciates against its trading partners' currencies. If the country's demand for imports is _____, the appreciation of its currency will lead to _____ in the total import value (in terms of domestic currency).

- A. unitarily elastic a rise
- B. inelastic a rise
- C. elastic a fall
- D. inelastic a fall

2014/DSE/I/42

Suppose South Korean Won depreciates against the US Dollar. Under the linked exchange rate system of Hong Kong, which of the following would be results of the above change in the exchange rate?

- (1) The volume of imported goods from South Korea to Hong Kong would increase.
- (2) The price of exported goods from Hong Kong to South Korea in terms of HK dollar would increase.
- (3) The number of tourists from South Korea to Hong Kong would decrease.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2016/DSE/I/44

Suppose the countries in a certain region are competitors of exporting goods to the U.S. The currencies of the countries in the region except that of Country X depreciate against the US dollar. As a result, the volume of Country X's exports to the U.S. will

- A. decrease.
- B. increase.
- C. remain constant.
- D. be indeterminate.

2016/DSE/I/45

Date	Exchange rate
15 February 2015	US\$1 = € 0.8773
15 August 2015	US\$1 = € 0.8965

Under the linked exchange rate system of Hong Kong, the above change in the exchange rate of Euro (€) to the US dollar would lead to _____.

- A. an increase in the number of European tourists to Hong Kong
- B. an increase in the total value (in terms of Hong Kong dollar) of European exports to Hong Kong
- C. a decrease in the volume of Hong Kong exports to the U.S.
- D. a decrease in the total value (in terms of Hong Kong dollar) of Hong Kong exports to Europe

2017/DSE/I/44

Date	Exchange rate
22 November 2015	US\$1 = RMB¥6.39
22 November 2016	US\$1 = RMB¥6.89

The above change in the exchange rate between the US Dollar and the Renminbi would lead to

- (1) a decrease in the number of Chinese tourists to the US.
 - (2) a decrease in the competitiveness of US exports to China.
 - (3) an increase in the total value of US exports to China (in terms of the US Dollar).
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2018/DSE/I/45

	Exchange rate
Day 1	1 HKD = 0.83 RMB
Day 2	1 HKD = 0.77 RMB

Mr Wong used \$10 000 Hong Kong Dollars (HKD) to buy Renminbi (RMB) at Day 1 and sold the sum at Day 2 to obtain HKD at the exchange rates shown in the table below.

Mr Wong _____ approximately in the above transactions.

- A. lost HK\$779
- B. lost HK\$600
- C. gained HK\$600
- D. gained HK\$779

1993/CE/II/33

Which of the following about the linked exchange rate (聯繫匯率) in Hong Kong is correct ?

- A. It is determined by market forces.
- B. It has been changed several times by the government.
- C. The linked rate system is used to stabilize the exchange rate of the Hong Kong dollar.
- D. It is an exchange rate between the Hong Kong dollar and a basket of foreign currencies.

1993/CE/II/36

Which of the following will lower the value of the Hong Kong dollar?

- A. The US dollar appreciates against other currencies.
- B. The government issues new \$10 coins to replace \$10 notes.
- C. The money income increases.
- D. The GDP deflator increases.

1996/CE/II/52

Hong Kong practises a linked exchange rate system. In the foreign exchange market the exchange rate of the Hong Kong dollar relative to the US dollar is _____ and that relative to other currencies is _____.

- A. fixed at US\$1 = HK\$7.8 fixed
- B. fixed at US\$1 = HK\$7.8 not fixed
- C. not fixed fixed
- D. not fixed not fixed

1999/CE/II/49

Under the linked exchange rate system of Hong Kong, which of the following statements is true?

- A. The exchange rate of the HK dollar relative to Renminbi is fixed.
- B. The market exchange rate of the HK dollar relative to the US\$ is fixed at US\$1 = HK\$7.8
- C. The competitiveness of Hong Kong exports decreases when the US dollar appreciates against other currencies.
- D. Hong Kong will not have a balance of payments problem.

2000/CE/II/52

Suppose the Japanese Yen appreciates greatly against the US dollar. Due to the linked exchange rate system.

- A. The HK dollar will depreciate greatly against the Japanese Yen.
- B. The US dollar will depreciate greatly against the Japanese Yen.
- C. The US dollar will depreciate greatly against the euro.
- D. The HK dollar will depreciate greatly against the euro.

2001/CE/II/46

Under the linked exchange rate system in Hong Kong,

- A. the market exchange rate of the HK dollar relative to the US dollar is fixed.
- B. the market exchange rates of the HK dollar relative to currencies other than the US dollar are fixed.
- C. The HK dollar will depreciate against the Australian dollar if the US dollar appreciates against the Australian dollar.
- D. The HK dollar will appreciate against the Japanese yen if the US dollar appreciates against the Japanese yen.

2006/CE/II/47

Under the linked exchange rate system of Hong Kong, which of the following statements is correct?

- A. The exchange rate of the Hong Kong Dollar (HKD) relative to the US dollar (USD) is fixed at USD1=HKD7.8 on the foreign exchange market.
- B. If Mainland China has a visible trade surplus, Hong Kong will also have a visible trade surplus.
- C. When the USD depreciates against the Euro, the HKD will also depreciate against the Euro.
- D. All of the above.

2009/CE/II/50

Under the linked exchange rate system of Hong Kong,

- A. the exchange rate of the Hong Kong dollar with the US dollar in the foreign exchange market is fixed.
- B. the Hong Kong government need not hold a large amount of foreign exchange reserves.
- C. Hong Kong citizens can give the Hong Kong government Hong Kong dollars in exchange for US dollars at the linked rate.
- D. the Hong Kong dollar banknotes are fully backed by foreign exchange reserves.

2013/DSE/I/40

Which of the following statements about the linked exchange rate system of Hong Kong is correct?

- (1) Hong Kong dollar banknotes are fully backed by Renminbi and the US dollar.
 - (2) The Hong Kong Monetary Authority holds a considerable amount of foreign exchange reserves.
 - (3) All note-issuing banks can exchange for US dollars at the linked rate with the Hong Kong Monetary Authority.
 - (4) The exchange rate of the Hong Kong dollar to the US dollar in the foreign exchange market is fixed.
- A. (1) and (2) only
 - B. (1) and (4) only
 - C. (2) and (3) only
 - D. (3) and (4) only

2015/DSE/I/42

Under the linked exchange rate system of Hong Kong, which of the following statements is correct?

- A. The money supply (M1) of Hong Kong has to be fully backed by the US dollar.
- B. The market exchange rate of HK dollar to the US dollar is fixed at 1USD to 7.8 HKD by the Hong Kong Monetary Authority.
- C. Hong Kong's import volume will increase when US dollar appreciates against other currencies.
- D. A current account deficit in the US will lead to a current account deficit in Hong Kong.

2017/DSE/I/45

Under the linked exchange rate system of Hong Kong, which of the following statements is correct?

- A. The non-bank public can sell their Hong Kong dollars to the Hong Kong Monetary Authority in exchange for US dollars at any time.
- B. It enables the Hong Kong Monetary Authority to carry out an expansionary monetary policy to stimulate private investment.
- C. The market exchange rate of the US Dollar against the HK Dollar is fixed at US\$1 = HK\$7.8.
- D. There would be a downward pressure on the consumer price indices of Hong Kong when the Renminbi continuously depreciates against the US Dollar.

2019/DSE/I/45

Study the prices of iPhone X in Hong Kong in terms of Hong Kong dollar (HKD) and in the Mainland in terms of Renminbi (RMB).

Hong Kong	The Mainland
HKD 8588	RMB 8316

Given the exchange rate of HKD 1 = RMB 0.875, which of the following statements is correct?

- A. Travellers tend to buy an iPhone X in the Mainland instead of in Hong Kong.
- B. RMB is under-valued as the price of an iPhone X in the Mainland is lower than that in Hong Kong.
- C. If the transportation cost is HKD 950, buying an iPhone X in Hong Kong and re-selling it in the Mainland will no longer gain.
- D. The potential gain from 'buy low, sell high' will disappear when the price of iPhone X in Hong Kong is higher than HKD 9504.

2020/DSE/I/44

The following table shows the change in the exchange rate of Euro against the US dollar.

Date	Exchange rate
22 September 2018	1EUR = US\$ 1.176
22 August 2019	1EUR = US\$ 1.109

The above change in the exchange rate will lead to a decrease in

- A. the number of European tourists visiting the US.
- B. the volume of goods exported from Europe to the US.
- C. the total value of US exports to Europe (in terms of Euro).
- D. the total value of European exports to the US (in term of the US dollar),

2020/DSE/I/45

Under the linked exchange rate system of Hong Kong, which of the following statements is correct?

- A. The money supply M1 of Hong Kong has to be fully backed up by the US dollar.
- B. Hong Kong's export volume will increase when the US dollar depreciates against other currencies.
- C. The market exchange rate of the HK dollar relative to the US dollar is fixed.
- D. Hong Kong citizens can sell 1 USD to the three note-issuing banks for 7.8 HKD.

2021/DSE/I/45

Study the following table.

	Exchange rate
3 December 2019	HKD 1 = RMB 0.902
3 December 2020	HKD 1 = RMB 0.923

On 3 December 2019, Mr Chan exchanged a total of RMB 300 000 from Hong Kong dollar and deposited the sum to a bank as time deposits at an annual interest rate of 0.8%. Suppose he withdrew the sum on 3 December 2020 and exchanged it back to Hong Kong dollar.

From the above transactions, Mr Chan_____.

- A. lost about HK\$4 967
- B. B. lost about HK\$7 570
- C. gained about HK\$6 300
- D. gained about HK\$8 515

2022/DSE/I/45

Which of the following statements about the Linked Exchange Rate System of Hong Kong is correct?

- A. The public can sell their Hong Kong dollars to the Hong Kong Monetary Authority in exchange for US dollars at the market exchange rate.
- B. The public can sell their Hong Kong dollars to the three note-issuing banks in exchange for US dollars at the linked exchange rate.
- C. An appreciation of Hong Kong dollar against Japanese yen would lead to an appreciation of US dollar against Japanese yen.
- D. An appreciation of US dollar against Japanese yen would lead to an appreciation of Hong Kong dollar against Japanese yen.

2024/DSE/I/45

The following table shows the change in the exchange rate of **Hong Kong dollar (HKD)** against Renminbi (RMB).

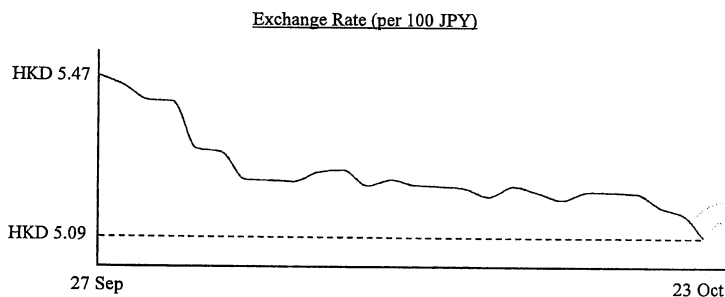
	Exchange rate
11 August 2022	HKD 1 = RMB 0.86
11 August 2023	HKD 1 = RMB 0.92

The above change in the exchange rate would lead to _____.

- A. an appreciation of US dollar against Renminbi
- B. an increase in the total value of imports from the Mainland to Hong Kong in terms of Hong Kong dollar
- C. an increase in the competitiveness of the Mainland's goods exported to Hong Kong
- D. an increase in the production cost of construction companies in Hong Kong which import construction materials from the Mainland

2025/DSE/I/45

The diagram below shows the exchange rate between Japanese Yen (JPY) and Hong Kong Dollar (HKD) from 27 September to 23 October 2024.



During the above period, if Japan's demand for imports from Hong Kong is _____, the total value of Japan's imports from Hong Kong (in terms of JPY) would _____.

- A. elastic.....decrease
- B. elastic.....increase
- C. inelastic.....decrease
- D. perfectly inelastic.....remain unchanged

Short & Structured Questions

1992/CE/I/2(c)

Some garment manufacturers in Hong Kong import raw materials from Japan. Explain how a depreciation of the Hong Kong dollar against the Japanese yen affects the unit cost of production of these firms. (4 marks)

1998/CE/I/11(b)

Suppose Japanese Yen depreciates against the Hong Kong dollar, and that Hong Kong people's demand for Japanese cars is elastic.

With the aid of a diagram, explain how these factors would affect the sales revenue (in HK\$) of Japanese cars in Hong Kong. (8 marks)

1999/CE/I/9(b)

The Japanese Yen depreciated sharply against the Hong Kong dollar. Other things being equal, what would be the effect on the sales revenue of French cars in Hong Kong? Explain your answer with the aid of a supply-demand diagram. (9 marks)

1999/CE/I/10(d)

The table below shows changes in the exchange rates between the Hong Kong dollar and some other Asian currencies:

Date	HK\$100 equals		
	Japanese 日圓	Indonesia Rupiah 印尼盾	Thai Baht 泰銖
15/10/1996	1 448	2 9412	324.7
10/10/1998	1 515.15	166 666.7	512.82

Explain the effect of such changes on the exports of Hong Kong to the US market and explain further the effect on Hong Kong's unemployment. (6 marks)

2002/CE/I/12(a)(ii)

Mr Wong runs a bookstore in Hong Kong. He sells books imported from Britain. Suppose the exchange rate between the US dollar and the British pound changes as follows:

April	US\$1 = £0.75
May	US\$1 = £0.70

Suppose the price of books imported from Britain remains unchanged in British pound and the demand for these books is inelastic.

With the aid of a diagram, explain how Mr Wong's sales revenue of these books in HK dollars would change. (7 marks)

2004/CE/I/11(b)

In Hong Kong, many fashion items are imported from Europe. Suppose the US dollar depreciates against the Euro.

- Explain how the import price (in terms of HK\$) of European fashion items would change under the linked exchange rate system. (2 marks)
- With the aid of a diagram, explain under what condition the total import value (in terms of HK\$) of European fashion items would decrease. (6 marks)

2006/CE/1/10

A change in the exchange rate of the Euro (€) is shown below :

Date	Exchange rate
1 December 2005	€1 = HK\$9.07
18 January 2006	€1 = HK\$9.37

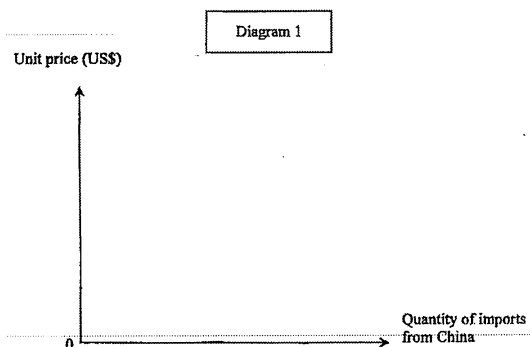
- (a) Suppose that during this period of time, the price of European cars (in terms of €) imported into Hong Kong did not change.
- (i) Explain how the above change in the exchange rate would affect the price (in terms of HK\$) of European cars imported into Hong Kong. (2 marks)
- (ii) With the aid of a diagram, explain why the above change in the exchange rate could lead to an increase in total expenditure (in terms of HK\$) on European cars imported into Hong Kong. (6 marks)
- (iii) Explain how the above change in the exchange rate would affect the total value (in terms of €) of European cars imported into Hong Kong. (2 marks)
- (b) Through a commercial bank, Mr Chan bought 10 000 Euros on 1 December 2005 and sold them on 18 January 2006 at the rates shown in the above table.
- (i) Calculate Mr Chan's gain / loss (in terms of HK\$) in the above transactions. Explain whether this gain / loss should be included in the calculation of Hong Kong's GDP. (4 marks)

2008/CE/1/11(a)

Trade deficit is a concern of many countries. The US government is trying to reduce the value of its imports from China. Two methods are suggested:

1. To press the Chinese government to revalue the Renminbi (RMB)
2. To impose a quota restriction on the imports from China

Explain under what condition the value of US imports (in terms of US\$) from China will decrease due to a revaluation of RMB. Illustrate your answer in Diagram 1 below. (7 marks)



2010/CE/I/8

Suppose from 2008 to 2009, the price of jeans exported to Japan from Hong Kong in terms of Hong Kong dollars (HK\$) remained unchanged. In the same period of time, the price of computers exported to Hong Kong from Japan in terms of Japanese Yen (¥) also remained unchanged. However, there was a change in the exchange rate between HK\$ and ¥ as follows:

Date	Exchange rate
13 August 2008	HK\$7.1 = ¥100
18 August 2009	HK\$8.2 = ¥100

What would be the effect of the above change in the exchange rate on the following items (a), (b) and (c)? For each item, fill in the blank by selecting the correct answer from one of the four choices:

increased decreased remained unchanged uncertain

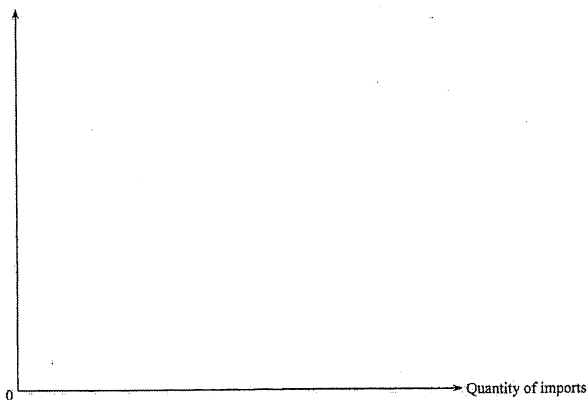
Item (In terms of HK\$)	Effect
(a) the price of Japanese computers exported to Hong Kong	
(b) the total value of Japanese computers exported to Hong Kong	
(c) the total value of Hong Kong jeans exported to Japan	

(3 marks)

2012/DSE/II/8

A country's currency depreciates against its trading partners' currencies. Will the depreciation necessarily lower the total import value of this country (in terms of domestic currency)? Explain with the aid of the diagram below. (7 marks)

Price (in terms of domestic currency)

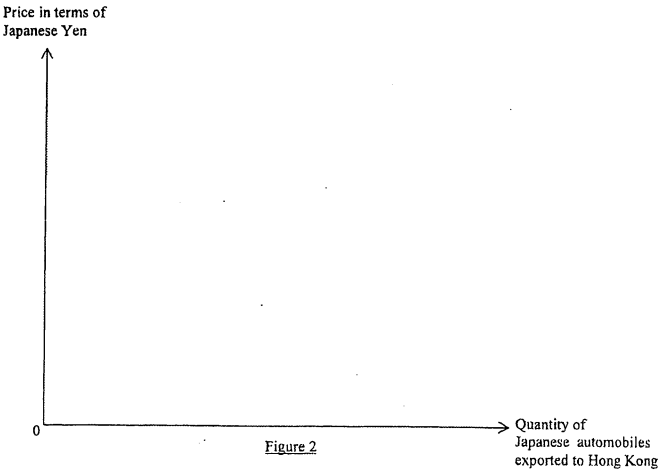


2014/DSE/II/11(a)

The following table shows the change in the exchange rate of the Hong Kong dollar against the Japanese Yen.

Date	Price of 1 unit of Hong Kong dollar
1 st August 2012	10.2 Yen
1 st August 2013	12.5 Yen

Suppose the price of Japanese automobiles (in terms of Yen) does not change. With the aid of Figure 2, explain why the above change in exchange rate would lead to an increase in the total export value (in terms of Yen) of Japanese automobiles to Hong Kong. (7 marks)

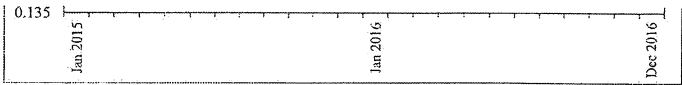


2018/DSE/II/12(d)

Source 2: Statistical data about tourism in Hong Kong in 2016

	2016	Compared with 2015 (%)
Mainland visitors	42.8 billion	-6.7%
Total visitors	56.65 billion	-4.5%
Total tourism expenditure associated to inbound tourism	HK\$296.2 billion	-10.1%

Source 3: exchange rate of the Renminbi (RMB) to the US dollar (USD) between 2015 and 2016



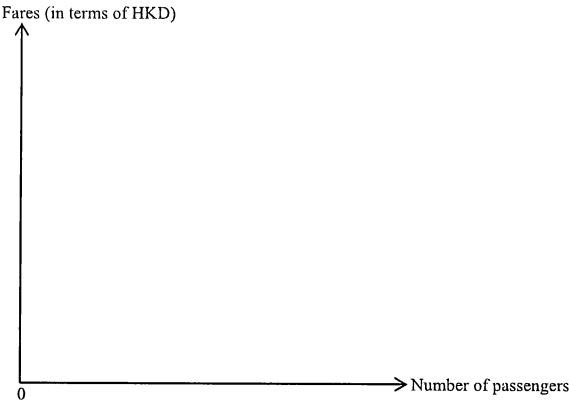
A reporter stated, ‘The change in the exchange rate of the Renminbi to the US dollar was a major factor contributing to the change of the total tourism expenditure associated to inbound tourism.’ Based on Sources 2 and 3, justify his statement. (6 marks)

2019/DSE/II/11
The Guangzhou-Shenzhen-Hong Kong Express Rail Link (High Speed Rail) was launched in September 2018.

Suppose the fares of the High Speed Rail in terms of RMB are fixed. The fares of High Speed Rail tickets sold in Hong Kong, in terms of Hong Kong dollar (HKD), will be adjusted according to the exchange rate of RMB against HKD.

- (c) ‘A depreciation of RMB against the US dollar (USD) will result in an increase in total revenue (in terms of HKD) of High Speed Rail tickets sold in Hong Kong.’ With the aid of Figure 2, explain under what condition this statement will be correct. (8 marks)

Figure 2



2021/DSE/II/5

Mr Chan, a Hong Kong retired footballer, was employed as a consultant by a football club in the United Kingdom in January 2020. Seven months later, he quitted his position and returned to Hong Kong.

- (a) Explain whether the salary received by Mr Chan from the football club in the United Kingdom would be included in the calculation of
 - (i) gross domestic product (GDP) in Hong Kong. (2 marks)
 - (ii) gross national income (GNI) in Hong Kong. (3 marks)
- (b) If Mr Chan could choose to receive his salary in either British Pound (GBP) or US Dollar (USD), which currency would you recommend him to choose? Explain your answer. (2 marks)

2022/DSE/I/I4b

Country B and Country C are two large open economies. Facing a huge visible trade deficit, Country B imposes a per-unit tariff on goods imported from Country C. Suppose Country B's demand for goods imported from Country C is elastic.

- (b) "Devaluation of a country's currency against its trading partners' may have the same effect on imports as tariff." Use Country B as an example to justify this statement. (2 marks)

2023/DSE/II/9

Figure 2: Value of US dollar (in terms of Japanese yen)

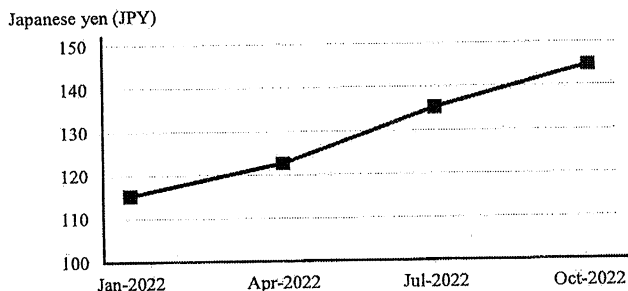
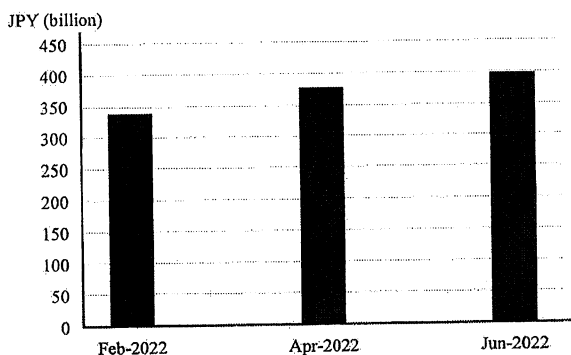


Figure 3: Total value of Hong Kong's imports from Japan (in terms of JPY)

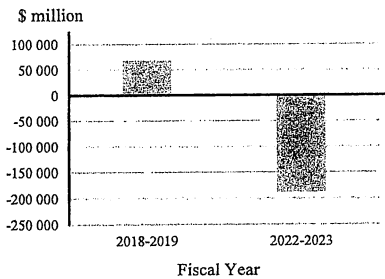


- (a) Refer to Figure 2. Under the Linked Exchange Rate System of Hong Kong, how would the exchange rate between JPY and Hong Kong dollar (HKD) change between January and October 2022? (1 mark)
- (b) ‘The change in the total value of imports shown in Figure 3 could be explained by the change in exchange rate between JPY and HKD during the period.’ With the aid of Figure 4, justify this statement.
(For simplicity, assume that in terms of JPY, the price of Hong Kong’s imports from Japan does not change.) (4 mark)

2024/DSE/II/13(b, d)

Hong Kong experienced an economic downturn because of the Covid-19 pandemic. It still faces various challenges on its path to resumption of normalcy after the pandemic.

Source A: Fiscal balance of the Hong Kong Government



Source B: Exchange rate of US dollar (USD) to Renminbi (RMB) before and after the pandemic

Date	Exchange Rate
1 April 2019	USD 1 = RMB 6.71
1 November 2023	USD 1 = RMB 7.32

Source C: News extract about the catering industry in Hong Kong in 2023

According to a representative of the catering industry in Hong Kong, local restaurants are unable to recruit enough waiters even though they are offering wages that are more than 50% above the statutory minimum.

Source D: Wage rates of waiters in Hong Kong in 2023

Statutory minimum wage rate	\$40 per hour
Average wage rate of waiters	\$62.4 per hour

Source E: Some data and views on the Hong Kong economy

A banker 	Influenced by the contractionary monetary policy in the US, the interest rate in Hong Kong rose drastically from mostly below 2% in 2018 to over 5% by the end of 2023.
An economist 	The inflation rate in the Mainland remained lower than that in Hong Kong throughout 2023. Negative growth in the general price level was recorded in October and November in the Mainland.
A government official 	Reviving the night-time economy is essential in facilitating the economic recovery in the short term, whereas innovation and technology development is a significant engine for driving high-quality economic growth in the medium-to-long term.

- (b) Refer to Source B. Under the Linked Exchange Rate System of Hong Kong, how would the change in the exchange rate shown in Source B affect the number of Hong Kong residents visiting the Mainland during the period? Explain your answer.

(3 marks)

For part (d), candidates are required to present their answers in an essay form. Criteria for marking will include the use of the sources and economic theories, relevant content, logical presentation, and clarity of expression.

- (d) Suppose there are two suggestions to stimulate Hong Kong's economic recovery and growth:

Suggestions	Objectives
I. Importing a large number of low-skilled workers for the catering industry and organising more night-time events to attract citizens and tourists to stay out at night for leisure	To facilitate the revival of the catering industry by boosting their revenue
II. Providing tax deductions for firms' expenses on innovation and technology projects to attract local and foreign investors to invest in the innovation and technology industry in Hong Kong	To enhance labour productivity and potential output

With reference to the above sources and your own knowledge in Economics, discuss

- how each of the above two suggestions may achieve its objective, and
- some possible factors that may limit the effectiveness of the two suggestions in achieving their corresponding objective. (Hint: You may consider some macroeconomic variables shown in the above sources, e.g. the exchange rate and the interest rate.)

(14 marks)